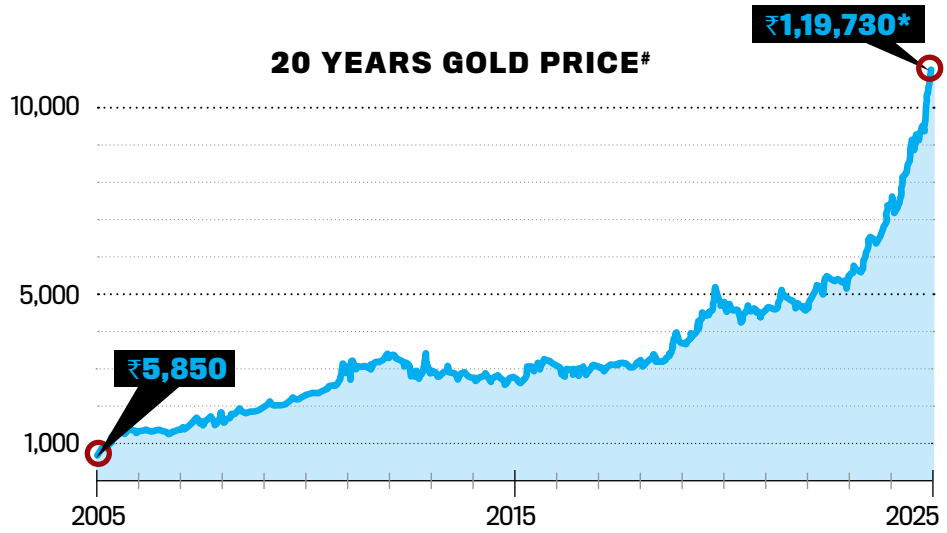
Platforms allow you to invest as low as Re 1 in gold in this form. The equivalent real gold is stored in secure vaults by the issuer, and these operations are regulated. This form has made it easy to purchase gold; however, you should verify the platform's compliance and obtain the requisite permission to offer gold in this form.

is likely to retain its shine as long as interest rates remain low in India and the US dollar remains stronger than the rupee. In fact, a significant portion of the gain on the gold investment is due to the depreciation of the rupee. The rupee was approximately 66 in 2015, and now hovers at around 86 to a dollar. This appreciation in the dollar price

from the two most popular asset classes—equities and fixed income. Adding gold to your portfolio provides stability in overall portfolio returns, especially during times of economic uncertainty, as during the years of the COVID-19 pandemic.

Moreover, including gold in your portfolio also helps diversification, thus allowing better risk management of your portfolio. Furthermore, gold has a complex relationship with interest rates; for instance, whenever the US Fed hikes interest rates, bond yields rise, making bonds a more attractive investment option. But when the Fed cuts interest rates, gold becomes attractive relative to US treasury bonds. With lower interest rates expected in the future, gold is likely to continue rallying in the near term.

There is also an inverse relation between gold and the rupee. Therefore, when the rupee weakens, gold prices tend to rise, and



#Price of 10 grams of 24-carat gold; *Oct. 5, 2025; source: goldprice.org

the government in 2015 to reduce the outflow of foreign reserves to fulfil the demand for gold in India. The scheme performed well, but the surge in gold prices over the past decade has made it a financial burden on the government, making it difficult for it to continue the scheme.

These days, you can also buy digital gold or e-gold. This allows you to invest in 24-carat gold without holding any physical bar or coin. Available on digital platforms, this is a virtual way to invest in gold by buying it in different multiples of the rupee.

GOLD DUST IN YOUR PORTFOLIO

In 2015, you could buy 10 grams of 24-carat gold for Rs 25,453; in late April this year, it breached the Rs 1 lakh mark. It has since climbed further (as of October 5, it was Rs 1.19 lakh), working out to an annualised return of 17 per cent. Compare this to the Sensex, which posted an 11 per cent gain in the same period, and FD rates, which hovered at under 7 per cent for the same period, and inflation, which has been around 6 per cent.

Gold has made an impact during this period and has significantly contributed to the higher gains on gold investments over the past decade.

As an investor, you should stick to asset allocation, which is the basic rule of successful investing. This is the principle by which investors spread out their investment portfolio across different asset classes, such as equity, commodities and debt. The inclusion of gold in a portfolio has to go beyond its role as a hedge against uncertainty and inflation. It should find a place in a well-diversified portfolio because of its negative or low correlation with returns